OCAD - ONE COMPANY A DAY

SERIES: BANK

Banco de Chile

BCH | NYSE (ADS); Santiago Stock Exchange (CHILE)

USD 36.55 per ADS

Closing price, Friday 30 October 2026, latest completed trading day



BCH daily closing price, 3 August to 30 October 2026, USD per ADS. Source: Alpha Vantage daily series (NYSE).

REPORT DATE
1 November 2026

ANALYST
Arthur Faugeron

SERIES
Bank

EXCHANGE
NYSE (ADS); Santiago Stock Exchange (CHILE)

Executive Summary

Banco de Chile is the second-largest private bank in Chile by loans, controlled by the Quiñenco and Citigroup joint holding LQ Inversiones Financieras. It earns a 21 percent return on average equity on a 37 percent efficiency ratio, but the first-half 2026 margin is flattered by inflation and management itself guides to a lower full-year margin. The ADS closed at USD 36.55, its lowest close in the last 100 sessions, after falling 4.5 percent on the final trading day of October.

Business

Banco de Chile is a universal commercial bank serving retail customers, small and medium enterprises and large corporates, plus treasury, insurance brokerage and investment products, with more than 2.9 million active clients and about 11,000 employees. Net interest income was 57.7 percent of 2025 operating revenue before loan losses and non-interest income 42.3 percent, all in Chile apart from a representative office in Beijing. It reports under IFRS in Chilean pesos (CLP), and each ADS represents 200 ordinary shares.

Financial Condition

FY2025 operating revenue before loan losses was CLP 3,026 bn (down 0.8 percent), net income CLP 1,192 bn (down 1.3 percent), return on average equity 21.2 percent as reported, and the equity to assets ratio 10.7 percent. First half 2026 net income was CLP 659 bn (up 4.0 percent), with second quarter net income of CLP 391 bn (up 28.1 percent) helped by a net interest margin of 5.76 percent. Bank cash flow from operations is dominated by changes in trading securities and loans, so free cash flow is not a reliable measure for a bank; dividends are the relevant cash measure.

Market Position

The main competitors are Banco Santander-Chile, BCI, BancoEstado, Itaú Chile and Scotiabank Chile. Its major advantage is a low-cost funding base, with non-interest bearing deposits at 41 percent of deposits, and a 37 percent efficiency ratio. Its major weakness is dependence on one economy, with 2026 growth guided near 1.3 percent, and on inflation-linked income.

Valuation

At USD 36.55 the market capitalization is USD 18.5 bn. Trailing P/E is 15.2 times and forward P/E about 13.7 times, price to book 3.1 times, and the dividend yield 4.5 percent (all rescaled to the 30 October close). Enterprise value, EV/EBITDA and P/FCF are not meaningful for a deposit-funded bank.

Investment Framework

WHAT IS ATTRACTIVE	Return on equity above 20 percent for four consecutive years, a cost to income ratio near 37 percent, no share dilution, and a dividend yield of 4.5 percent.
WHAT IS CONCERNING	Net interest margin is guided to 4.6 percent for 2026 against 4.93 percent in the first half, credit loss expense rose 49.7 percent in the first half, and the stock trades at 3.1 times book.
WHAT MUST GO RIGHT	Loan growth near 6 percent, credit cost within 1.2 to 1.3 percent of average loans, and a return on average capital of 21 to 22 percent, as guided.
WHAT COULD BREAK THE THESIS	Faster margin normalization as inflation and policy rates fall, a rise in consumer and SME arrears, or a sustained return on equity below 17 percent.
PRICED IN	At a 10 percent cost of equity and 3.5 percent growth, a price to book of 3.1 times requires a perpetual return on equity near 23.5 percent, above the 19 to 21 percent currently earned.

Investment Profile

ASSESSMENT BY DIMENSION

Dimension	Assessment
Business quality	High. Scale, a 2.9 million client base and a low-cost deposit franchise.
Financial quality	High. Return on equity of 20.9 percent and 37 percent efficiency, with earnings falling since 2022.
Competitive position	Strong. Leading private-bank franchise in a concentrated market.
Growth profile	Low. Revenue CAGR of 8.0 percent since 2021, but flat since 2022; 2026 loan growth guided near 6 percent.
Balance-sheet risk	Low to moderate. Equity to assets 10.7 percent; regulatory capital ratios not retrieved.
Valuation	Full. 3.1 times book and 15.2 times earnings, a premium to local peers.
Market and technical profile	Weak near term. Closing at a 100-session low, below the 20 and 50-day averages, RSI near 30.

Source: analyst assessment based on the data in this report.

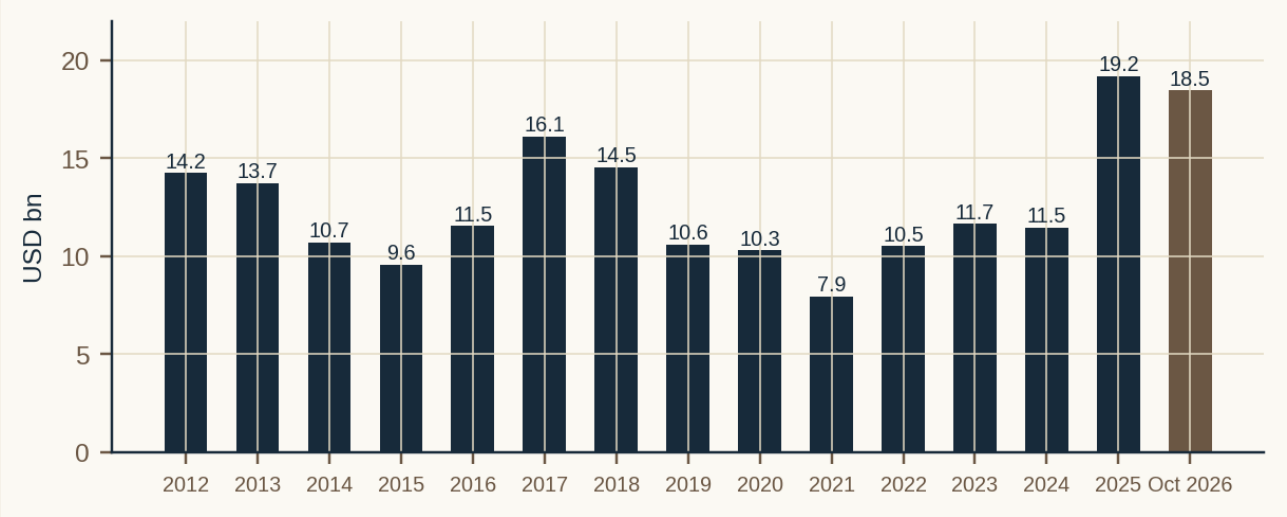
A. About the Business

A1. Business Environment

The business is commercial banking in Chile. Banks gather deposits and wholesale funding, lend to households, firms and the state sector, and earn the spread plus fees, with credit losses and operating costs as the main deductions. According to the second quarter 2026 filing, system loans were CLP 253,069,875 million at 31 May 2026, up 3.8 percent in nominal terms. With 2026 inflation near 4.0 percent in management's assumptions, real loan growth is therefore close to zero. Value is created by low-cost funding and cheap distribution, and captured by the banks with scale: Banco de Chile's 2025 cost to income ratio was 37.4 percent as reported.

The macro backdrop is moderate. Chile's GDP grew 0.5 percent in 2023 and 2.6 percent in 2024, with 2.4 percent expected for 2025, while consumer price inflation was 3.9, 4.5 and 3.4 percent and the Central Bank policy rate ended each year at 8.25, 5.00 and 4.50 percent. Management assumes 2026 GDP growth near 1.3 percent, December inflation near 4.0 percent and a policy rate near 4.5 percent. The industry is mature, cyclical and highly regulated: growth tracks nominal GDP, and profitability swings with inflation and interest rates because many loans and securities are indexed to the unit of account (UF).

Banco de Chile market capitalization at year end, 2012 to 2025, and 30 October 2026



Source: StockAnalysis.com market capitalization history; Alpha Vantage close of 30 October 2026. Units: USD bn.

INDUSTRY STAGE: MATURE, CYCLICAL AND REGULATED

> Loan growth near nominal GDP, concentrated competition among six large banks, and earnings that depend on inflation and policy rates indicate a mature industry. Digital channels and open banking are structural changes, but the retrieved sources do not quantify their effect on margins.

A2. What Does the Company Do?

Banco de Chile takes deposits and issues bonds in pesos, UF and foreign currency, lends the proceeds to individuals, SMEs and corporates, runs a treasury that trades securities and manages liquidity, and sells insurance and investment products through its subsidiaries. A new employee should think of three engines: the spread on a CLP 39 trillion loan book, the zero-cost funding of CLP 11.8 trillion of current account deposits, and fee income, which was CLP 340 bn in the first half of 2026 (up 8.8 percent). The loan book was CLP 39.2 trillion at the end of 2025.

How one peso of operating revenue is used

Using 2025 figures, each CLP 100 of operating revenue before loan losses (CLP 3,026 bn) is distributed as follows: CLP 12.6 to provisions for loan losses, CLP 37.3 to operating expenses, CLP 5.4 to other items before tax, CLP 10.6 to income tax, and CLP 39.4 to net income. Of net income, roughly two thirds is distributed as dividends.

1. CUSTOMER
Individuals, SMEs, corporates; 2.9 million active clients

2. PRODUCT AND SERVICE
Loans, deposits, cards, treasury, insurance, investments

3. REVENUE
CLP 1,746 bn net interest income and CLP 1,280 bn non-interest income

4. COSTS
CLP 382 bn provisions; CLP 1,130 bn operating expenses

5. OPERATING PROFIT
CLP 1,513 bn pre-tax; 50.0 percent of revenue

6. CASH FLOW
Net income CLP 1,192 bn; bank cash flow is distorted by trading assets

7. CAPITAL ALLOCATION
Dividends of about two thirds of earnings; no buybacks; retained earnings build equity

Source: Banco de Chile FY2025 income statement as compiled by StockAnalysis.com, CLP bn. Distribution calculated from reported lines.

A3. Business and Relationship Network

ECOSYSTEM MAP

Node	Relationship	Why it matters economically
LQ Inversiones Financieras (LQIF)	Holds 51.15 percent of the shares as of 30 June 2026; owned equally by Quiñenco and Citigroup since 2010	Control is stable and the controlling holders have held the position since 1999, but control means a thin free float.
Quiñenco	Chilean holding company; carries Banco de Chile at CLP 1,894.6 bn book value	Largest asset in the group; dividends from the bank fund the holding.
Citigroup	Partner in LQIF since 2008; international connectivity alliance	Supports cross-border corporate business and trade finance.
Depositors and bondholders	CLP 28.5 trillion of deposits and CLP 16.2 trillion of debt at end 2025	Funding cost drives the spread; 41 percent of deposits pay no interest.
Borrowers	Households, SMEs and corporates in Chile	Credit cost and loan growth depend on the domestic cycle.
Regulators	Central Bank of Chile and the financial markets commission (CMF)	Set policy rates, capital and liquidity rules.
Competitors	Santander-Chile, BCI, BancoEstado, Itaú, Scotiabank	Share loans, deposits and talent in a concentrated market.

Source: Quiñenco, Banco de Chile company page; Banco de Chile Form 6-K, 2Q26 Financial Management Review; StockAnalysis.com balance sheet.

A4. Competition

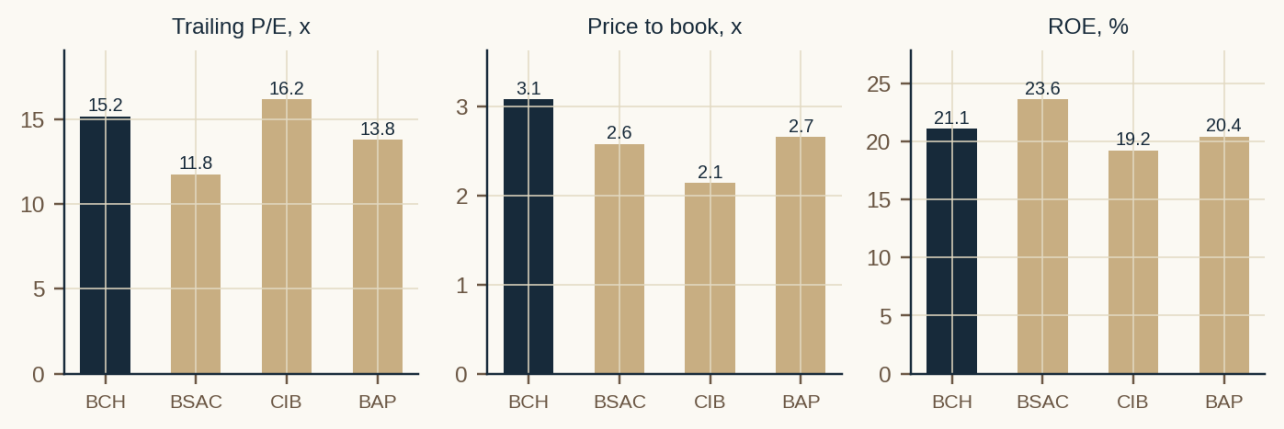
COMPETITIVE COMPARISON

Bank	Mkt cap, USD bn	P/E, x	P/B, x	ROE, %	Div. yield, %
Banco de Chile (BCH)	18.5	15.2	3.08	21.1	4.5
Banco Santander-Chile (BSAC)	14.4	11.8	2.58	23.6	3.6
Bancolombia (CIB)	24.6	16.2	2.14	19.2	4.9
Credicorp (BAP)	29.7	13.8	2.66	20.4	4.0

Source: StockAnalysis.com statistics pages. BCH rescaled to the 30 October 2026 close and BSAC from 24 September to 30 October 2026 by the change in price; CIB (26 October 2026) and BAP as published, unscaled. P/E is trailing; ROE as published.

Banco Santander-Chile is the only listed direct competitor with a similar corporate and retail mix and is the main valuation comparison. BCI, BancoEstado (the main state-owned bank), Itaú Chile and Scotiabank Chile compete for the same customers, but per-bank figures were not retrieved and are not quoted. Bancolombia and Credicorp are regional listed banks used only to place the valuation in a Latin American context; they do not compete for Chilean customers. Fintech lenders and card issuers are emerging substitutes for payments and consumer credit. Santander-Chile reported FY2025 net income of CLP 1,022 bn against Banco de Chile's CLP 1,192 bn, and retail customers were 76.3 percent of its loan book.

Valuation and returns versus listed banks



Source: StockAnalysis.com, late October 2026 (see table note for dates). Units: multiples in times, ROE in percent.

A5. Competitive Differences

Advantages are mostly structural: a funding franchise in which CLP 11.8 trillion of deposits carry no interest, a 2.9 million client base, and an operating cost base that produced a 37.3 percent calculated efficiency ratio in 2025. The 51.15 percent controlling holder provides capital stability. Disadvantages are concentration in one economy, a margin sensitive to inflation and policy rates, and a loan book where growth is limited by the system's 3.8 percent nominal expansion. Brand and scale are durable; the funding advantage is partly cyclical, since the share of non-interest bearing deposits fell from 56.7 percent in 2021 to 41.4 percent in 2025 as rates rose.

MOAT ASSESSMENT: MODERATE TO STRONG

> Return on equity of 20.9 to 29.7 percent over four years exceeds any plausible cost of equity, which supports a durable franchise, but part of it reflects the 2022 inflation spike and the loss of zero-cost funding shows the advantage is not fixed.

A6. Industry Trend

System loan growth of 3.8 percent nominal is a mature, cyclical trend. Structural drivers are digitalization and regulatory capital requirements; temporary conditions are the high inflation of 2021 to 2023 and the cycle of policy rates, which fell from 8.25 percent to 4.50 percent between 2023 and 2025. The trend could reverse upward with faster GDP growth or downward if arrears rise: the industry past-due ratio is forecast at 2.3 to 2.4 percent for 2026 in the company's filing.

A7. Management

EXECUTIVE TEAM

Name	Position	Notes
Eduardo Ebensperger Orrego	Chief Executive Officer (General Manager)	Leads the bank; further biography not retrieved.
Rolando Arias Sanchez	Chief Financial Officer	Responsible for finance; biography not retrieved.
Hernan Buchi Buc	Director	Board member listed by the data provider.
Pablo Camilo Mejia Ricci	Head of Investor Relations	Main contact for the 6-K and 20-F disclosures.
Alfredo Villegas Montes	General Counsel and Secretary of the Board	Corporate governance and legal.
Rodrigo Aravena	Chief Economist and Senior Vice President of Institutional Relations	Source of the macro assumptions.

Source: StockAnalysis.com company profile, October 2026. Previous careers and compensation were not retrieved.

Management behavior is shareholder-aligned on distributions and conservative on structure. The share count has been 101,017 million for every year from 2021 to 2025, so there has been no dilution and no buyback. Dividend yield of about 4.5 percent and a published payout near 67 percent return most of the earnings, while retained earnings rose from CLP 1,124 bn to CLP 2,677 bn between 2021 and 2025. Guidance accuracy is mixed: the 2026 loan growth target was lowered from about 7 to about 6 percent, whereas first half return on average capital of 22.4 percent is already at the top of the 21 to 22 percent range. Goodwill was nil in 2025, so there is no acquisition risk on the balance sheet. The controlling holders are the insiders: Quiñenco and Citigroup hold 51.15 percent through LQIF.

B. Evaluation

B1. Financial and Operating Metrics

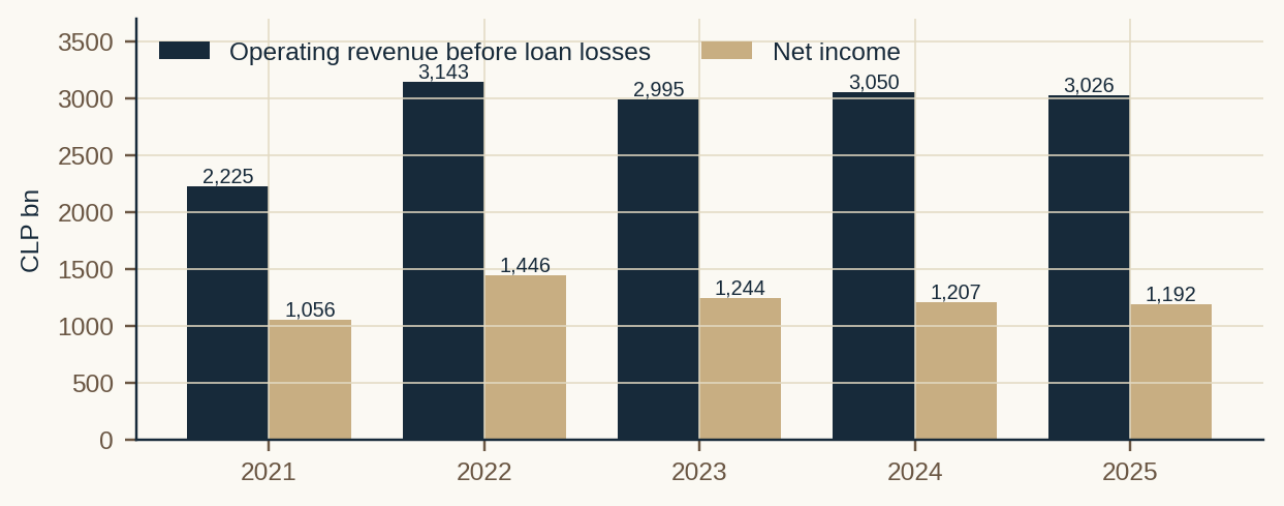
PROFITABILITY, EFFICIENCY AND CREDIT QUALITY

Metric	FY2021	FY2022	FY2023	FY2024	FY2025
Operating revenue before loan losses, CLP bn	2,224.9	3,142.6	2,994.9	3,050.3	3,026.0
Revenue growth, %	N/A	41.3	-4.7	1.8	-0.8
Pre-tax margin on revenue, %	59.9	55.2	50.7	50.0	50.0
Net margin on revenue, %	47.5	46.0	41.5	39.6	39.4
ROE on average equity, %	N/A	29.7	23.3	22.2	20.9
ROA on average assets, %	N/A	2.71	2.24	2.24	2.25
Efficiency ratio, %	39.2	31.7	37.2	37.1	37.3
Provisions to gross loans, %	0.06	1.10	0.94	0.98	0.96
Effective tax rate, %	20.7	16.7	18.1	20.9	21.2
Equity to assets, %	8.3	9.9	9.4	10.8	10.7
Diluted EPS, CLP per share	10.46	14.31	12.31	11.95	11.80

Source: Banco de Chile financial statements as compiled by StockAnalysis.com (reported); ratios calculated by the analyst. Efficiency ratio is non-interest expense over operating revenue before loan losses. Gross margin, ROIC, EBITDA and inventory metrics are not meaningful for a bank and are omitted.

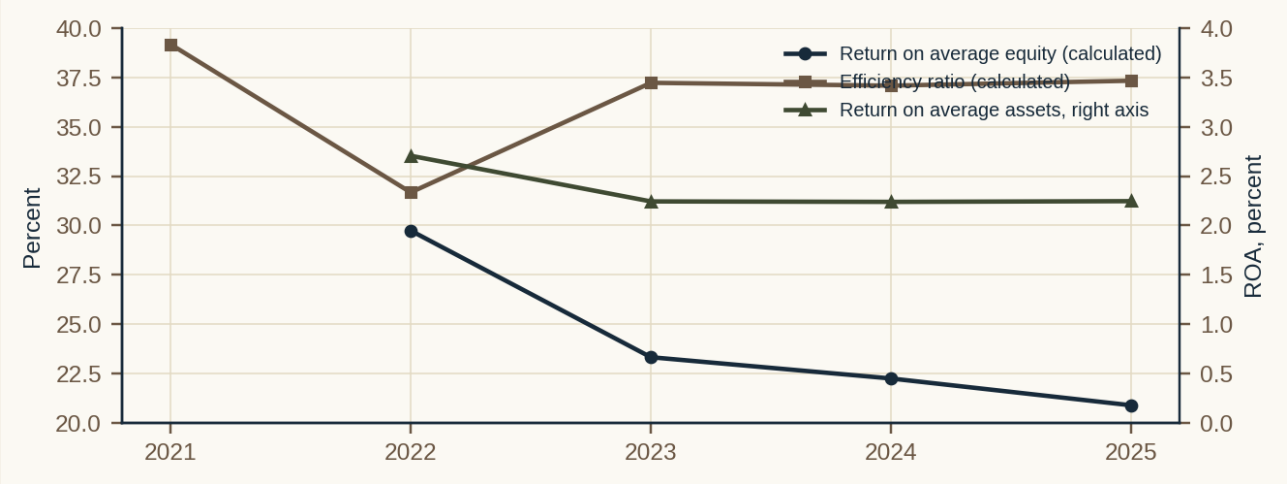
Revenue grew at a 8.0 percent CAGR from 2021 to 2025 but has been flat since 2022, while net income CAGR over 2021 to 2025 was 3.1 percent and over 2022 to 2025 was negative 6.2 percent. Return on equity has compressed from 29.7 to 20.9 percent as the 2022 inflation windfall unwound and equity grew; net interest income fell 22.9 percent in 2023 and recovered 15.2 percent in 2024. A cost to income ratio stable at 37 percent, provisions near 1.0 percent of gross loans and a 21 percent tax rate show a steady operating model whose swing factor is the margin.

Operating revenue before loan losses and net income, FY2021 to FY2025



Source: Banco de Chile financial statements as compiled by StockAnalysis.com. Units: CLP bn.

Return on equity, return on assets and efficiency ratio, FY2021 to FY2025



Source: calculated from StockAnalysis.com financial statements. Units: percent.

B2. Risks

RISK REGISTER RANKED BY PROBABILITY TIMES IMPACT

Rank	Risk	Probability	Impact	Description
1	Margin normalization	High	High	Guidance of 4.6 percent for 2026 compares with 4.93 percent in the first half and 5.76 percent in the second quarter; lower inflation cuts UF indexed income.
2	Credit cost increase	Medium	High	Credit loss expense rose 49.7 percent in the first half; the second quarter included CLP 50 bn of additional provisions.
3	Valuation compression	Medium	High	At 3.1 times book the stock needs a return on equity above 23 percent to justify the price at a 10 percent cost of equity.
4	Domestic macro and policy	Medium	Medium	GDP growth near 1.3 percent in 2026; policy rate near 4.5 percent.
5	Funding mix	Medium	Medium	Non-interest bearing deposits fell from 56.7 to 41.4 percent of deposits between 2021 and 2025.
6	Regulation and capital	Low	Medium	Capital and liquidity ratios were not retrieved; capital rules could limit payouts.
7	Technology and competition	Medium	Low	Digital entrants pressure payments and consumer credit fees.
8	Concentrated control	Low	Medium	51.15 percent held by LQIF; sale or governance change would affect the free float.

Source: analyst assessment using Banco de Chile Form 6-K, 2Q26, and StockAnalysis.com balance sheet.

The three risks most capable of permanently impairing shareholder value are margin normalization, a credit cycle that raises loan losses well above 1.3 percent of loans, and valuation compression from a price that already embeds a return on equity above current earnings.

B3. Valuation

Using the 30 October close of USD 36.55: market capitalization is USD 18.46 bn; trailing P/E is 15.2 times (published 15.9 times at 38.33); forward P/E about 13.7 times (published 14.35 times at 38.33); price to book 3.08 times; price to tangible book 3.2 times; and the dividend yield is 4.53 percent on the USD 1.65471 per ADS paid in April 2026. P/S, EV/EBITDA, EV/FCF and PEG are not meaningful for a deposit-funded bank. The tangible book value per ADS is implied by the published price to book and equals about USD 11.85.

Against peers, BCH carries the highest price to book of the four banks in the comparison at 3.08 times against 2.58 times for Banco Santander-Chile, though its ROE of 21.1 percent is below Santander-Chile’s 23.6 percent. Historical multiple ranges were not retrieved; the year-end market capitalization has ranged from USD 7.9 bn in 2021 to USD 19.2 bn in 2025.

What is priced in. The price to book ratio equals (ROE minus g) divided by (cost of equity minus g). At a 10 percent cost of equity and 3.5 percent perpetual growth, 3.08 times book requires a perpetual ROE of 23.5 percent. Management guides to a 21 to 22 percent return on average capital in 2026 and the calculated 2025 ROE is 20.9 percent, so expectations appear optimistic: they assume return on equity holds at the cycle peak. The cost of equity is an analyst assumption because the Chilean long-term yield was not retrieved.

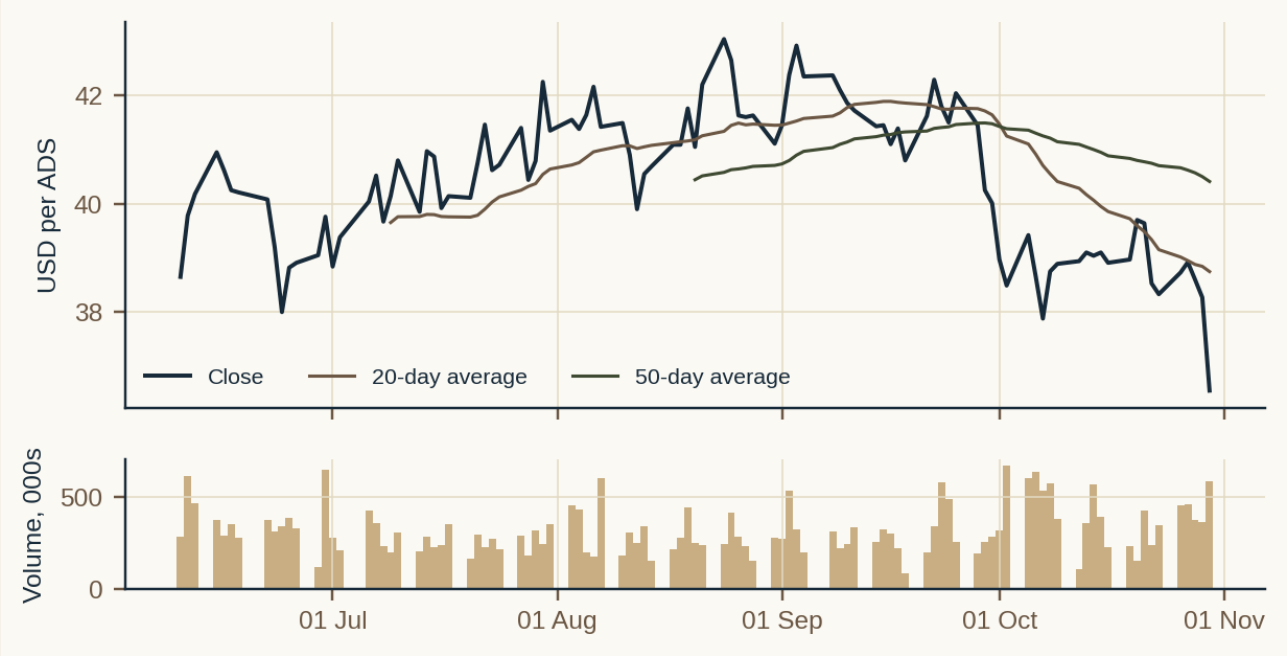
B4. Capital Market and Stock Analysis

PRICE RETURNS, BCH ADS

Period	Return	Basis
1 day (30 October 2026)	-4.5%	Calculated, daily closes
1 week (5 sessions)	-4.6%	Calculated
1 month (21 sessions)	-6.2%	Calculated
3 months (63 sessions)	-12.0%	Calculated
Since 31 December 2025	-3.8%	Derived: year-end market cap divided by ADS count
1 year to 23 October 2026	+15.1%	Published by StockAnalysis.com
Since year end 2023	+58.3%	Derived, price only
Since year end 2021	+132.8%	Derived, price only

Source: Alpha Vantage daily series; StockAnalysis.com. Returns exclude dividends. Year-end prices are market capitalization divided by 505.085 million ADSs. 6 month and 3 year returns were not retrieved.

BCH price with 20 and 50-day averages and volume, 10 June to 30 October 2026



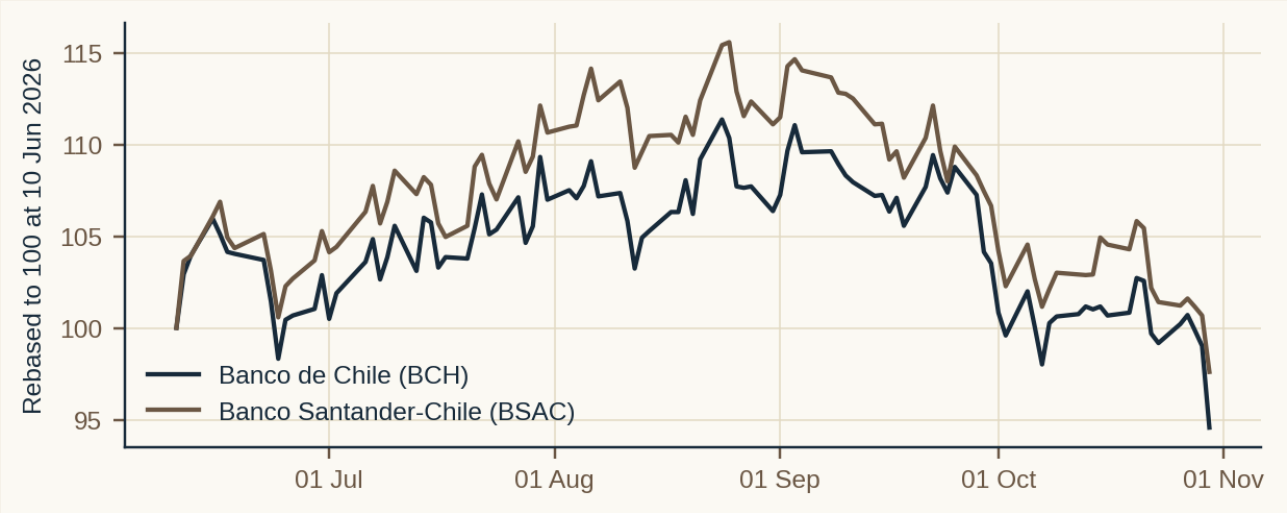
Source: Alpha Vantage daily series. Units: USD per ADS; volume in thousands of ADSs.

VOLATILITY, RISK AND TECHNICAL INDICATORS

Measure	Value	Basis
Annualized volatility (100 sessions)	25.5%	Calculated from daily log returns
Downside volatility (annualized)	18.9%	Calculated
Maximum drawdown in the window	-15.1%	High of USD 43.04 on 24 August to USD 36.55
Beta, five years	0.06	Published by StockAnalysis.com
Beta and correlation versus BSAC	0.97 and 0.88	Calculated, 99 daily returns
RSI (14 days)	29.8	Calculated
MACD versus signal	-0.65 and -0.55	Calculated, 12, 26, 9
Average true range (14 days)	USD 0.98	Calculated
20-day and 50-day average price	USD 38.75 and 40.41	Calculated
200-day average price	USD 40.04	Published, as of 23 October 2026
Volume, last 20 sessions versus 100	402,000 versus 325,000	Calculated

Source: Alpha Vantage daily series, 10 June to 30 October 2026; StockAnalysis.com. A benchmark index series was not retrieved, so market beta is the published figure.

BCH versus Banco Santander-Chile, rebased, 10 June to 30 October 2026



Source: Alpha Vantage daily series. Units: index, 10 June 2026 = 100. BCH -5.4 percent; BSAC -2.4 percent.

The technical structure is bearish in the short term: the price is below its 20, 50 and 200-day averages, the MACD is below its signal line and the RSI of 29.8 is at the oversold boundary, after a 15.1 percent decline from the August high. Volume has risen on the declines (20-day average 402,000 against 325,000). The very low published beta does not mean low risk; it reflects a local, peso-driven stock that moves with the Chilean market and with BSAC (correlation 0.88). Technical readings describe momentum, not value, and a 4.5 percent drop on 30 October has no cause that the retrieved sources identify.

C. Financial Statements

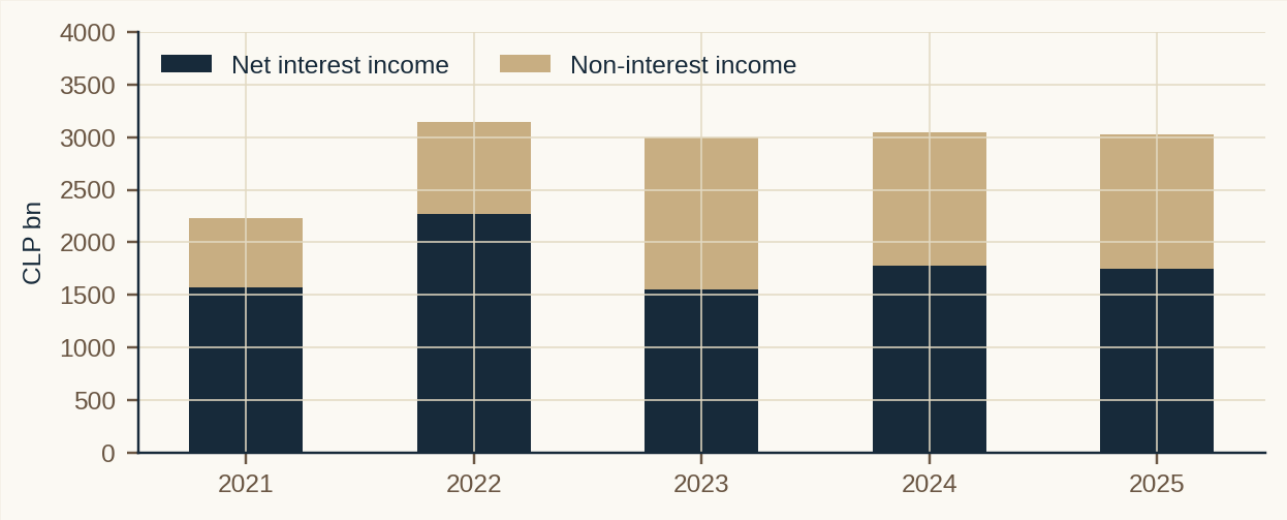
C1. Income Statement

INCOME STATEMENT SUMMARY, CLP BN

Line	FY2021	FY2022	FY2023	FY2024	FY2025
Interest income	2,388.5	4,466.9	3,181.6	2,920.0	2,715.8
Interest expense	814.4	2,200.8	1,634.7	1,138.3	969.6
Net interest income	1,574.0	2,266.1	1,546.9	1,781.7	1,746.1
Non-interest income	650.8	876.5	1,448.0	1,268.6	1,279.9
Operating revenue before loan losses	2,224.9	3,142.6	2,994.9	3,050.3	3,026.0
Provision for loan losses	19.2	412.1	361.3	391.8	381.9
Non-interest expense	871.7	995.3	1,114.9	1,131.2	1,129.8
Pre-tax income	1,332.3	1,735.0	1,517.5	1,525.8	1,513.2
Income tax	276.0	289.2	273.9	318.4	320.9
Net income	1,056.3	1,445.8	1,243.6	1,207.4	1,192.3

Source: Banco de Chile financial statements (IFRS) as compiled by StockAnalysis.com, fiscal years to 31 December. Reported values.

Operating revenue composition, FY2021 to FY2025



Source: StockAnalysis.com. Units: CLP bn.

Interest income peaked at CLP 4,467 bn in 2022 with interest expense at CLP 2,201 bn, and net interest income recovered in 2024 as funding costs fell faster than asset yields. Non-interest income more than doubled between 2021 and 2025 (CLP 651 bn to CLP 1,280 bn), supplying 42.3 percent of revenue; the largest line, other non-interest income of CLP 1,147 bn, is not split between fees and indexation effects in the retrieved sources, and first-half 2026 net fees were CLP 340 bn. Operating expenses grew 29.6 percent between 2021 and 2025 against revenue growth of 36.0 percent, so operating leverage was positive over four years but neutral since 2023. Margins have contracted from 59.9 to 50.0 percent pre-tax mainly because provisions rose from CLP 19 bn to CLP 382 bn after the post-pandemic release in 2021.

The first half of 2026 shows the sensitivity of the model. Operating income was CLP 1,670.9 bn (up 8.4 percent), expenses CLP 576.6 bn (up 2.6 percent), credit loss expense CLP 279.3 bn (up 49.7 percent) and net income CLP 659.2 bn (up 4.0 percent). First-quarter net income was CLP 268.6 bn (calculated). In the second quarter the net interest margin was 5.76 percent against 4.71 percent a year earlier and return on average capital reached 29.1 percent. Full year guidance of 4.6 percent for the margin implies about 4.3 percent in the second half if both halves are weighted equally (calculated).

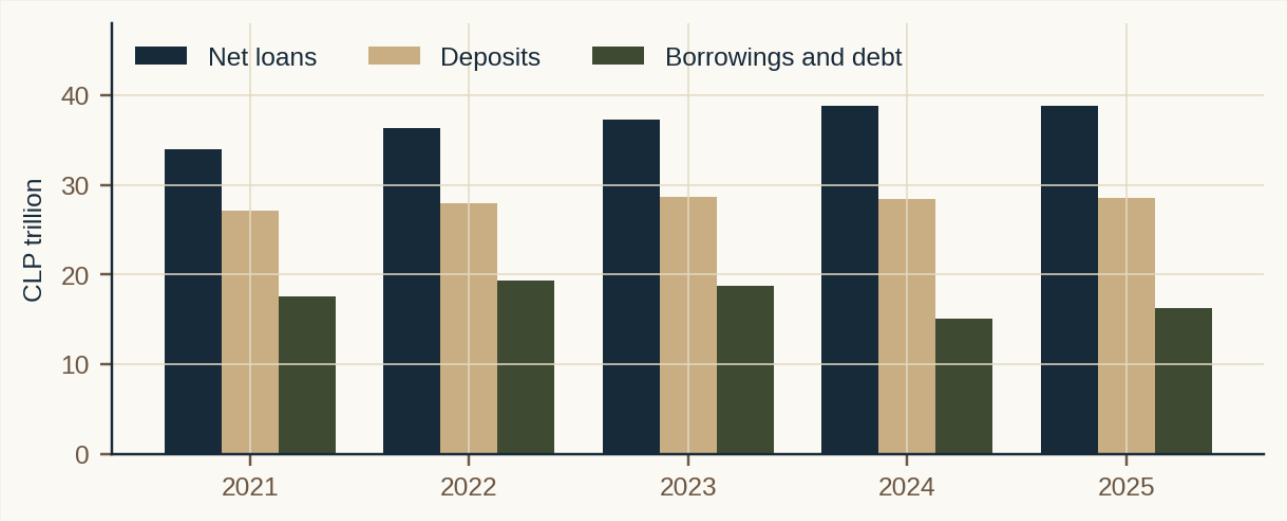
C2. Balance Sheet

BALANCE SHEET SUMMARY, CLP BN AT 31 DECEMBER

Line	2021	2022	2023	2024	2025
Cash and equivalents	2,655.0	3,152.9	2,289.7	2,035.1	1,657.9
Total investments	11,961.7	13,466.5	13,079.1	7,699.9	9,620.8
Net loans	33,951.2	36,276.7	37,250.0	38,755.9	38,754.1
Total assets	51,758.3	55,108.9	55,792.6	52,095.4	54,100.9
Total deposits	27,053.6	27,951.1	28,687.2	28,432.0	28,470.2
Total debt (borrowings and bonds)	17,580.4	19,306.6	18,720.3	15,011.5	16,211.8
Total liabilities	47,464.8	49,677.4	50,555.3	46,472.4	48,301.4
Shareholders' equity	4,293.5	5,431.4	5,237.3	5,623.0	5,799.5
Allowance for loan losses	718.8	823.3	769.7	787.0	836.2
Non-interest bearing deposits, % of deposits	56.7	40.0	38.4	41.4	41.4

Source: StockAnalysis.com balance sheets of Banco de Chile (reported); percentages calculated. Net debt, debt to EBITDA and current ratio are not meaningful for a bank.

Net loans, deposits and borrowings, 2021 to 2025



Source: StockAnalysis.com. Units: CLP trillion.

Net loans grew 14.1 percent between 2021 and 2025, deposits 5.2 percent, and wholesale debt filled the gap, with net loans at 136 percent of deposits at end 2025. This funding structure is common in Chile, where bonds and institutional funding supplement deposits, but it makes funding costs sensitive to market rates. The allowance covered 2.09 percent of gross loans at end 2025 (1.97 percent in 2024). Equity rose 35.1 percent over four years, lifting equity to assets from 8.3 to 10.7 percent. Tangible book value was CLP 5,625 bn and goodwill is nil. Regulatory capital, liquidity coverage and non-performing loan ratios are Not Retrieved for 2025; the past-due ratio was 1.65 percent in June 2026 against 1.47 percent a year earlier according to the 2Q26 filing summary.

C3. Cash Flow Statement

CASH FLOW SUMMARY, CLP BN

Line	FY2021	FY2022	FY2023	FY2024	FY2025
Net income	1,056.3	1,445.8	1,243.6	1,207.4	1,192.3
Operating cash flow	-598.2	51.0	-186.7	396.6	1,248.4
Capital expenditure	-35.6	-21.2	-26.7	-17.2	-18.7
Operating cash flow less capex	-633.8	29.8	-213.4	379.4	1,229.7
Common dividends paid	-220.3	-539.8	-866.9	-815.9	-995.4
Net debt issued (repaid)	1,596.7	378.0	-674.0	-516.4	668.0
Change in deposits	3,603.8	77.6	1,228.1	-225.3	54.0

Source: StockAnalysis.com cash flow statements (reported). Operating cash flow less capex equals the provider’s free cash flow; for a bank it is not an indicator of distributable cash.

For a bank the cash flow statement is dominated by changes in trading securities and loans rather than by earnings: in 2025 trading assets absorbed CLP 1,699.6 bn while other operating assets released CLP 712.4 bn. Net income therefore does not equal cash generation, and operating cash flow swung from negative CLP 598 bn in 2021 to positive CLP 1,248 bn in 2025. Capital expenditure is small at CLP 19 bn (0.6 percent of revenue), and dividends paid rose from CLP 220 bn to CLP 995 bn, which is 83 percent of 2025 net income on a cash basis; this includes timing effects because the published payout ratio is 67.5 percent. Earnings are supported by the balance sheet rather than by free cash flow, and the retained portion rose equity.

C4. Forecasting and Projections

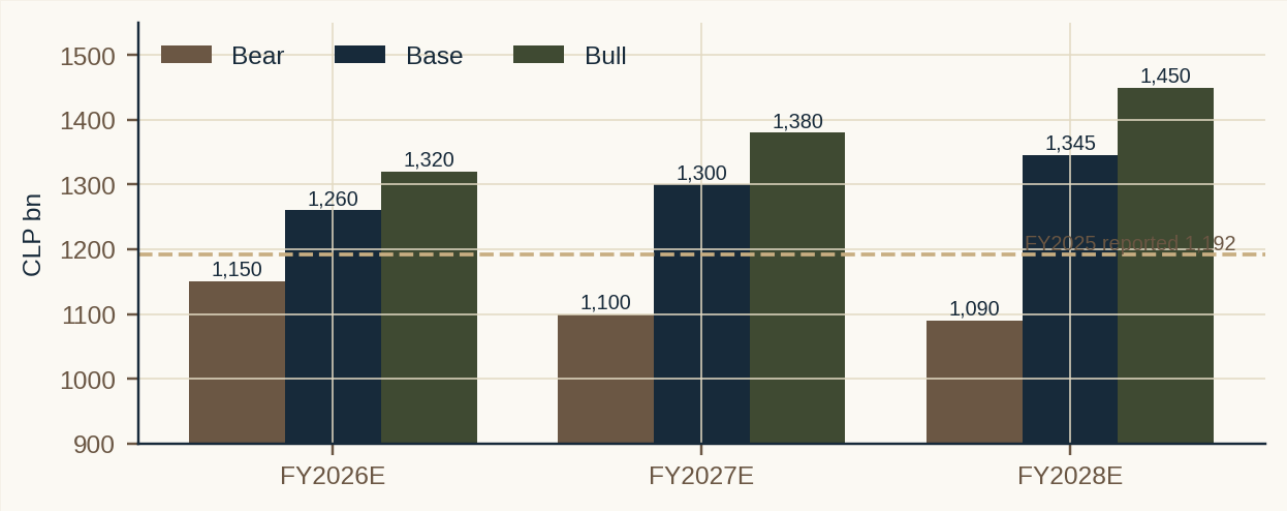
Revenue is driven by volumes and the margin. Loan growth is guided near 6 percent nominal for 2026 (lowered from 7 percent) against 3.8 percent for the system, implying share gains; the net interest margin is guided to 4.6 percent, the efficiency ratio to 37.0 percent, credit cost to 1.2 to 1.3 percent of average loans, and return on average capital to 21 to 22 percent. Working capital and capex are immaterial for a bank; growth capex is mainly technology, with CLP 59 bn of intangible purchases in 2025.

NET INCOME SCENARIOS, CLP BN

Scenario	FY2026E	FY2027E	FY2028E	Key assumptions
Bear	1,150	1,100	1,090	Margin falls faster, credit cost 1.6 percent of loans
Base	1,260	1,300	1,345	Guidance met, growth of 3 to 3.5 percent
Bull	1,320	1,380	1,450	Margin holds near 4.9 percent, credit cost 1.2 percent

Source: analyst estimates built from the 2026 guidance in the Banco de Chile 2Q26 filing. FY2025 reported net income was CLP 1,192 bn. Base 2026 equals 1H26 reported CLP 659 bn plus about CLP 601 bn in the second half.

Net income scenarios, FY2026E to FY2028E



Source: analyst estimates. Units: CLP bn.

The base case equals about CLP 2,495 per ADS (CLP 1,260 bn over 505.1 million ADSs), a forward P/E of about 14 times at the current price using an implied exchange rate near CLP 970 per USD. This rate is inferred from the published price to book and is not a quoted market rate. Sensitivity of valuation to margin and credit cost is shown in the next section through the return on equity.

C5. Discounted Cash Flow (DCF) Model

A free cash flow DCF is not appropriate for a bank, because debt is operating raw material and operating cash flow is distorted by trading assets. The standard approach is an excess return (dividend discount) model, in which value equals book value multiplied by (ROE minus g) divided by (cost of equity minus g). Assumptions: book value per ADS of USD 11.85 (implied by the published price to book); sustainable ROE of 19 percent (below the 2026 guidance of 21 to 22 percent, reflecting normalization of inflation); a payout consistent with growth of 2 to 4 percent; tax of about 21 percent and no separate capex or working capital forecast. The cost of equity range is 9 to 13 percent; net debt is not applicable and the share count is unchanged at 101,017 million (505.1 million ADSs).

SENSITIVITY: COST OF EQUITY (ROWS) AGAINST TERMINAL GROWTH (COLUMNS), VALUE PER ADS, USD

Cost of equity	g = 2%	g = 3%	g = 4%
9%	28.8	31.6	35.6
10%	25.2	27.1	29.6
11%	22.4	23.7	25.4
12%	20.1	21.1	22.2
13%	18.3	19.0	19.8

Source: analyst calculation. Sustainable ROE of 19 percent and book value of USD 11.85 per ADS. With a cost of equity of 10 percent and growth of 3 percent, each 2 points of sustainable ROE adds about USD 3.4 per ADS (15 percent ROE gives USD 20.3 and 23 percent gives USD 33.9).

The calculation gives a range of USD 18 to 36 per ADS, with most of the range between USD 21 and USD 30 at 10 to 12 percent cost of equity. The current price of USD 36.55 sits at or above the top of the range and is reached only at a 9 percent cost of equity with growth of 4 percent or a sustainable ROE above 23 percent. This is a valuation range under stated assumptions, not a price target or a forecast.

C6. Leveraged Buyout (LBO) Model

Not applicable. A bank is financed by regulated deposit funding and capital requirements, the controlling holders hold 51.15 percent, and a leveraged buyout structure is not meaningful.

D. Investment Thesis

Bull Case

Inflation stays near 4 percent, the margin holds close to 4.9 percent rather than falling to 4.3 percent in the second half, credit cost stays at 1.2 percent of loans, and loan growth of 6 percent with a stable 37 percent efficiency ratio lifts net income towards CLP 1,380 bn in 2027. A return on equity above 21 percent would justify a price to book near 3 times at a 10 percent cost of equity.

Bear Case

Margin falls to the guided level or below, provisions rise to 1.6 percent of loans, and growth stalls at the system’s 3.8 percent nominal rate. Net income would fall towards CLP 1,100 bn in 2027, return on equity would approach 18 percent, and on the excess return model a value near USD 20 to 25 per ADS compares with USD 36.55.

Base Case

Guidance is met: net income of about CLP 1,260 bn in 2026, rising 3 to 3.5 percent a year, return on equity of 20 to 21 percent, a payout near two thirds and a dividend yield near 4.5 percent. At this earnings level the stock trades at about 14 times 2026 estimated earnings.

Catalysts

POTENTIAL CATALYSTS

Event	Timing	Why it matters
3Q26 results release	Per company calendar; not retrieved	Tests the margin guidance and credit cost trend.
Dividend decision	Around March 2027, based on the 2026 pattern	Ex-dividend date was 30 March 2026; payout sets the yield.
Guidance update	Quarterly	Loan growth already cut once from 7 to 6 percent.
Central Bank policy rate	Scheduled meetings	Drives funding costs and UF indexation.
Chile inflation and GDP data	Monthly and quarterly	Sets nominal growth and arrears.

Things to Monitor

MONITORING LIST

Metric or event	Why it matters	Positive	Negative
Net interest margin	Largest earnings driver	Stays above 4.6 percent	Falls below 4.3 percent
Credit loss expense	Earnings volatility	At or below 1.3 percent of loans	Above 1.6 percent
Past-due ratio	Early warning on credit	Below 1.65 percent	Above 2.0 percent
Efficiency ratio	Operating leverage	Near or below 37 percent	Above 39 percent
Return on average capital	Valuation support	21 to 22 percent or higher	Below 18 percent
Non-interest bearing deposits	Funding cost	Above 41 percent of deposits	Below 38 percent

E. Final Investment Framework

BUSINESS QUALITY	High. A universal franchise with 2.9 million clients and a low-cost deposit base.
FINANCIAL QUALITY	High but cyclical. Return on equity of 20.9 percent and efficiency of 37.3 percent in 2025, with net income down in each year since 2022.
COMPETITIVE POSITION	Strong. Second-largest private bank by loans, approximately 15 to 16 percent of system loans (indicative, comparing end 2025 bank loans to May 2026 system loans).
MANAGEMENT	Competent and shareholder-friendly. Stable share count, steady payout, no goodwill; controlling holders own 51.15 percent.
INDUSTRY	Mature, cyclical and regulated; loan growth near 3.8 percent nominal.
VALUATION	Full. 3.1 times book and 15.2 times earnings, with the price above the excess return range of USD 21 to 30.
TECHNICAL AND MARKET STRUCTURE	Weak near term. Below the 20, 50 and 200-day averages, RSI 29.8, down 15.1 percent from the August high.
PRINCIPAL RISK	Normalization of the net interest margin as inflation and policy rates decline.
PRINCIPAL CATALYST	Third-quarter results confirming or revising the 2026 margin and credit cost guidance.
KEY VARIABLE	Sustainable return on equity: each 2 points changes the excess return value by about USD 3.4 per ADS.
THESIS INVALIDATION	The investment thesis would become materially weaker if the net interest margin falls below 4.3 percent, credit loss expense exceeds 1.6 percent of average loans, the efficiency ratio rises above 39 percent, or return on average capital falls below 18 percent for two consecutive quarters.

Category	Metric	Current	Prior year	3Y / 5Y trend

F. Data Table

Category	Metric	Current	Prior year	3Y / 5Y trend
Market	Market cap, USD bn	18.5	19.2 (Dec 2025)	7.9 (Dec 2021)
Market	Enterprise value	N/A	N/A	N/A
Market	Share price, USD per ADS	36.55	37.99 (Dec 2025)	15.70 (Dec 2021)
Growth	Revenue growth FY2025, %	-0.8	1.8	CAGR 8.0 (2021 to 2025)
Profitability	Gross margin	N/A	N/A	N/A
Profitability	Pre-tax margin, %	50.0	50.0	59.9 (FY2021)
Profitability	Net margin, %	39.4	39.6	47.5 (FY2021)
Profitability	ROE, %	20.9	22.2	23.3 (FY2023)
Profitability	ROIC	N/A	N/A	N/A
Cash flow	Operating cash flow, CLP bn	1,248.4	396.6	-186.7 (FY2023)
Cash flow	Operating cash flow less capex, CLP bn	1,229.7	379.4	-213.4 (FY2023)
Leverage	Net debt / EBITDA	N/A	N/A	N/A
Leverage	Equity to assets, %	10.7	10.8	9.4 (FY2023)
Valuation	P/E, x	15.2	Not Retrieved	Not Retrieved
Valuation	P/B, x	3.08	Not Retrieved	Not Retrieved
Valuation	EV/EBITDA	N/A	N/A	N/A
Valuation	P/FCF	N/A	N/A	N/A
Market	Beta (five years)	0.06	Not Retrieved	Not Retrieved
Market	Volatility, annualized %	25.5	Not Retrieved	Not Retrieved
Market	Maximum drawdown, %	-15.1 (100 sessions)	Not Retrieved	Not Retrieved

Source: StockAnalysis.com; Alpha Vantage; calculations by the analyst. N/A means not meaningful for a bank; Not Retrieved means unavailable at the report date.

G. Sources and Methodology

Data cross-check

Financial statements were taken from the compiled annual statements and cross-checked with the company page of the controlling shareholder: net income of CLP 1,192,262 million, total assets of CLP 54,100,903 million and equity of CLP 5,799,534 million match exactly. The reported ROAE of 21.2 percent compares with 20.9 percent calculated on average equity, and the reported efficiency ratio of 37.4 percent with 37.3 percent calculated, which is a definition difference. Reported total loans of CLP 39,191,970 million differ from the compiled gross loans of CLP 39,917,824 million for the same reason, and the reported figure is used for market share. The closing price of USD 36.55 from the daily series agrees with the market capitalization of USD 18.46 bn divided by 505.085 million ADSs. The payout ratio is published as 63.9 percent on one page and 67.5 percent on another; the higher figure from the statistics page is used and the discrepancy noted. A book value per share shown as 0.06 on the statistics page is a data error and was ignored. Third-party multiples dated 23 October were rescaled by the change in price to 30 October. All figures are IFRS, in Chilean pesos unless marked USD, and fiscal years end on 31 December.

Source list

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Calculations

Ratios in tables marked calculated were derived by the analyst: return on average equity and assets use the mean of opening and closing balances; efficiency ratio is non-interest expense divided by operating revenue before loan losses; provisions to gross loans uses year-end gross loans; returns are close to close, excluding dividends; volatility is the standard deviation of 99 daily log returns times the square root of 252; RSI, MACD and ATR use standard 14, 12-26-9 and 14-day settings. Year-end share prices are year-end market capitalization divided by 505.085 million ADSs (101,017 million shares over 200). The justified price to book model uses the formula (ROE minus g) over (cost of equity minus g); the cost of equity range and sustainable ROE are analyst assumptions. Implied exchange rate near CLP 970 per USD is inferred from the published price to book. Market share of about 15 to 16 percent is CLP 39,191,970 million over CLP 253,069,875 million and is indicative because the dates differ.

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